THE PRIME MINISTER'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
NAMANGA SECONDARY SCHOOL
FORM TWO PRE- MOCK
065 BUSINESS STUDIES

Time: 2½ Hours **May 2026**

Instructions

1. This paper consists of section **A**, **B** and **C** with a total of nine questions.
2. **Answer all questions.**
3. All answers must be written in the answer sheet provided.
4. All communication devices, calculators and any unauthorized materials are not allowed in the examination room.
5. Write your assessment number at the top right corner of every page.

SECTION A (15 MARKS)

1. For each of the items (i) to (x) choose the most correct answer among the given alternatives.

(i) A soft drink company uses sugar, water, and flavors to produce soda in large quantities before selling it to wholesalers. Which of the following best describes this activity of turning the ingredients into soda?
A. Distribution
B. Production
C. Consumption
D. Exchange

(ii) Asha was employed as a secretary at St. Clara Girls Secondary school, and she receives salary for her services. In which category does the post held by Asha can be placed among the following factors of production?
A. Land
B. Labour
C. Capital
D. Entrepreneurship

(iii) Mr. Seypalm is a retailer who sells goods to the customers in cash and credit terms. However, he opted to sell on credit in order to attract more customers. What is the best description of this business process?
A. Distribution
B. Production
C. Consumption
D. Exchange

(iv) Which among the following is a good example of perishable goods?
A. Chair
B. Wheat flour
C. Natural flower
D. Text book

(v) Mr. Felix bought a new tractor costing TZS 36,000,000 for large scale agricultural activities. What type of goods can this tractor be classified into?
A. Consumer goods
B. Producer goods
C. Domestic goods
D. Production goods

(vi) Latifa went to the Supermarket to purchase food items such as bread and butter, fruits, meet, diary and eggs for her family. How can you describe Latifa in business terms?
A. Producer
B. Cook
C. Consumer
D. Mother

(vii) Education provided by teachers, healthcare from doctors, and banking services offered by financial institutions are good examples of:
A. Economic goods
B. Free goods
C. Services
D. Opportunity cost

(viii) A drought in Tanzania has reduced the supply of maize, making it difficult for many people to buy flour. What economic problem does this situation illustrate?
A. Opportunity cost
B. Droughtnes
C. Scarcity
D. Plent

(ix) Amina sells home made fruit juice. It costs her TZS 3,000 to produce each litre, and she sells it for TZS 5,000. How much profit does she make per litre?
A. TZS 2,000
B. TZS 3,000
C. TZS 5,000
D. TZS 8,000

(x) Jane has TZS 10,000. She can either buy a textbook for school or a ticket for a music concert. She chooses to buy the textbook. What is the opportunity cost in Jane's decision?
A. The textbook she bought
B. The money she spent
C. The concert she missed
D. The value of the textbook in the future.

2. Match the descriptions of various types of goods in List A with the corresponding types of goods in List B by writing the letter of the correct response below the item number in the table provided.

LIST A	LIST B
(i) Goods which are provided by nature, and are abundant in supply. (ii) Goods which have high social benefits to consumers. (iii) Goods that are scarce and yield utility to an individual. (iv) Goods which are produced to assist production of other goods. (v) Goods which have short life span in nature.	A. Merit goods B. Capital goods C. Public goods D. Perishable goods E. Free goods F. Luxury goods G. Economic goods

SECTION B (40 MARKS)

3. Seypalm is a small business owner whose duties involves planning, organising, staffing, directing and controlling. As a form two student, explain four procedures involved in controlling as a function of business management.

4. (a) With examples, explain three types of entrepreneurship:

   (b) Using the knowledge you have attained from the topic of entrepreneurship, explain at least two theories of entrepreneurship.

5. Liandeli owns a small shop where he sells hand-made shoes and jewellery. He advertises his products at the local market and sometimes online through social media. Does Liandeli's small shop qualify as a business? Explain five reasons for your answer.

6. You have a stock administrator in one-of your public warehouses; some of his activities include Receiving and Storage of Goods. Propose five main tasks on receiving of stock that you would use in assessing his performance

SECTION C (45 MARKS)

7. Assume you need to start up your preferred business, but currently, you don't have access to funding. However, you shared your business idea with your family and friends, and they decided to provide funds to help you start your business. Explain three benefits and three disadvantages of this source of finance.

8. Ms. Jesylne can not identify business opportunities; she has approached you to seek help. How can you help her? Explain in six points.

9. Sole proprietorship like any other form of business face challenges in it's operation. Explain three challenges and suggest how they should be solved points.